

home with 63 family members and one kitchen. The concept of living with family, cousins, uncles, and aunts, while ensuring that you pursue your own goals and interests, is crucial. A lot of Kotakites started with strong middle-class values, and that really kept us all together.... In 1985, Kotak was [what we call] a start-up in today's world... The whole concept of entrepreneurship was at the core of who we are, and we combined that with the need for professionalism. We coined the term 'professional entrepreneur,' and it is something which we deeply believe in and it has seeped into the culture [of the group].

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Many of the lateral hires at the bank are in senior positions, with some of them being non-bankers. Do you see that as a big challenge?

Hiring is a continuing exercise. It has to be worked on. Think about the multiple tributaries and rivers that flow into a sea. You have different kinds of water coming in. At the same time, the mainstream river also continues to grow. I think of this as a constant *manthan*—a churn that has

to happen within the sea for reinventing it for the future. I would also like to categorically say that we also continue to deeply value continuity and commitment and culture is the key to our future.

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What are the key challenges a banking institution needs to keep in mind today?

First of all, I would like to compliment the RBI, Sebi, Irdai (Insurance Regulatory and Development Authority of India), MCA (Ministry of Corporate Affairs) and all the regulators, as well as the government in general, for navigating the Indian financial sector's ship so beautifully, particularly in the post-Covid period... However, the financial sector is fundamentally a high-leverage sector, and therefore, one can never lower one's guard. At the same time, India has aspirations for a \$30-trillion economy by 2047, so the financial sector also has to be a significant engine for our growth. So, it is a constant navigation between appropriate regulation, risk management and growth aspiration for practitioners, regulators, and the government.



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Your shareholders have been rewarded with compounded returns of 38-40% in the last four decades. Do you have similar expectations from the new management under Ashok Vaswani in the next 10-20 years?

I think, at the end of the day, the responsibility for boards and managements is to generate sustainable returns for shareholders and stakeholders, while also ensuring that broader interests are taken care of, such as sustainability and the interest of depositors.

If the returns to shareholders come, that's coming after the interests of depositors are protected.

Like any other company, banks and financial institutions are generally listed, which means they have an obligation to generate shareholder returns in addition to safeguarding the interests of depositors. Capital is essential for growth, and if India is to meet its aspirations, there will be a continuing need for capital. We must focus on sustainable growth, always keeping in mind that it is an exercise in risk management, customer centricity, and now powered by technology.

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You recently said that regulators should not be too conservative and

**“WHEN YOU PUT YOUR NAME ON THE LINE,
YOU ARE COMMITTING YOUR REPUTATION
TO THE INSTITUTION”**